

finding turnaround opportunities among the victims of diworse-ification that have decided to restructure.

There are so many examples of diworseification I hardly know where to begin. Mobil Oil once diworseified by buying Marcor Inc. One of Marcor's businesses was a retailer in an unfamiliar business that plagued Mobil for years. Marcor's other main business was Container Corporation, which Mobil later sold at a very low price. Mobil blew more millions by paying too much for Superior Oil.

Since the 1980 peak in oil prices, Mobil stock has risen only 10 percent, while Exxon has doubled. Beyond a couple of unfortunate and relatively small acquisitions such as Reliance Electric, plus an ill-fated venture-capital subsidiary, Exxon resisted diworseification and stuck to its own business. Its excess cash went to buying back its own stock. The shareholders of Exxon have done much better than the shareholders of Mobil, although new management is turning Mobil around. It sold Montgomery Ward in 1988.

The follies of Gillette I've already described. That company not only bought the medicine chest, it diworseified into digital watches and then announced a write-off of the whole fiasco. It's the only time in my memory that a major company explained how it got out of a losing business before anybody realized it had gotten into the business in the first place. Gillette, too, has made major reforms and has lately mended its ways.

General Mills owned Chinese restaurants, Italian restaurants, steak houses, Parker Brothers toys, Izod shirts, coins, stamps, travel companies, Eddie Bauer retail outlets, and Footjoy products, many acquired in the 1960s.

The 1960s was the greatest decade for diworseification since the Roman Empire diworseified all over Europe and northern Africa. It's hard to find a respectable company that didn't diworseify in the 1960s, when the best and the brightest believed they could manage one business as well as the next.

Allied Chemical bought everything but the kitchen sink, and probably somewhere in there it actually took over a company that made kitchen sinks. Times Mirror diworseified, and so did Merck, but both have wised up and returned to their publishing and their drugs.

U.S. Industries made 300 acquisitions in a single year. They should have called themselves one-a-day. Beatrice Foods expanded from edibles into inedibles, and after that anything was possible.

This great acquisitive era ended in the market collapse of 1973-74, when Wall Street finally realized that the best and the brightest were not as ingenious as expected, and even the most charming of corporate directors could not turn all those toads they bought into princes.

That's not to say it's always foolish to make acquisitions. It's a very good